Table 61.3 Cumulative Failure Rates

Maximum Price Decline (%)	Bull Market	Bear Market
5 (breakeven)	517 or 22%	65 or 7%
10	544 or 46%	132 or 22%
15	340 or 61%	115 or 35%
20	272 or 73%	128 or 50%
25	186 or 81%	103 or 61%
30	155 or 88%	92 or 72%
35	99 or 92%	71 or 80%
50	147 or 98%	133 or 95%
75	40 or 100%	43 or 100%
Over 75	0 or 100%	2 or 100%

Also, notice how the failure rate climbs for small changes in the maximum price decline. For example, in bear markets, 7% of three falling peaks patterns fail to drop more than 5% after the breakout. The breakeven rate triples to 22% failing to drop more than 10% and rises to 35% failing to decline more than 15%. This type of increase is typical for many chart pattern types.

What the numbers show is that the decline may not be substantial before a rebound occurs, because much of the decline has already taken place (with each peak). By that, I mean the decline from the first to the third peak is not included in the table, only the drop from the breakout to the ultimate low.

Table 61.4 shows breakout-related statistics.

Breakout direction. This chart pattern breaks out downward all of the time. An upward breakout invalidates the pattern.

Yearly position, performance. In bull markets, the best performance comes from patterns with breakouts within a third of the yearly low. Bear market patterns do best near the yearly high. However, the 29% decline is based on just 33 patterns, so it's likely to change with additional samples.

Pullbacks. A pullback occurs about two-thirds of the time and takes 11 or 12 days, on average, to complete the journey back to the breakout price.